RHI MAGNESITA INDIA

RESULT UPDATE

nuvama institutional equities

KEY DATA

Rating	BUY
Sector relative	Outperformer
Price (INR)	465
12 month price target (INR)	600
52 Week High/Low	580/376
Market cap (INR bn/USD bn)	96/1.1
Free float (%)	33.5
Avg. daily value traded (INR mn)	485.3

SHAREHOLDING PATTERN

	Sep-25	Jun-25	Mar-25
Promoter	56.07%	56.07%	56.07%
FII	5.01%	5.00%	4.99%
DII	12.39%	12.55%	12.97%
Others	26.53%	26.38%	25.97%

FINANCIALS

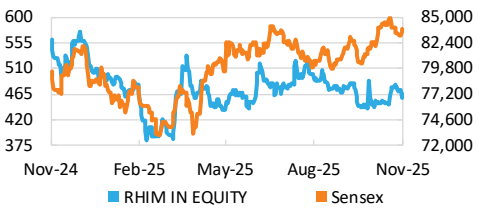
(INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Revenue	36,745	40,180	44,198	48,618
EBITDA	4,791	5,075	6,389	7,027
Adjusted profit	2,025	2,127	3,274	3,871
Diluted EPS (INR)	9.8	10.3	15.9	18.7
EPS growth (%)	(10.3)	5.0	53.9	18.2
RoAE (%)	5.2	5.2	7.6	8.4
P/E (x)	47.5	45.2	29.4	24.9
EV/EBITDA (x)	20.4	18.9	14.4	12.7
Dividend yield (%)	0.5	0.5	0.5	0.5

CHANGE IN ESTIMATES

(INR mn)	Revised estimates		% Revision	
Year to March	FY27E	FY28E	FY27E	FY28E
Revenue	40,180	44,198	1.6	1.6
EBITDA	5,075	6,389	0.0	0.0
Adjusted profit	2,127	3,274	-3.2	-4.3
Diluted EPS (INR)	10.3	15.9	-2.8	-4.5

PRICE PERFORMANCE



Margins set to improve in H2FY26

RHI reported lower-than-expected Q2FY26 EBITDA of INR1.09bn (our estimate: INR1.22bn), +2% YoY/+7% QoQ owing to continued usage of high-cost RM. The QoQ increase is attributable to higher volumes (up 9% QoQ) partially offset by lower realisation (down INR1,080/t QoQ to INR73,237/t). Overall EBITDA margin stood flat QoQ at 10.6% and EBITDA/t at INR7,741/t, down 2% QoQ.

Despite adverse macro, RHIM's H2FY26E EBITDA margin shall rise to 14–15% (from 10.6% in H1FY26) due to lower RM cost (exhaustion of high-cost RM inventory), improved product mix and incentives. Retaining FY26E/27E EBITDA and rolling over to FY28E EPS yields a TP of INR600 (earlier: INR532) at unchanged 32x PE; upgrade to 'BUY'.

Revenue up 8% QoQ driven by higher volumes

Consolidated revenue at INR10.4bn rose 8% QoQ primarily due to higher volume (up 9% QoQ to 141kt). Blended realisation/t decreased INR1,080/t QoQ to INR73,237/t owing to continued pressure in commodity-grade refractories amid intense competition. Flow control product constitutes ~28% of revenue (26% in Q1FY26) and commands an EBITDA margin of ~23% (~21% in Q1FY26).

EBITDA rises 7% QoQ on higher revenue; margin stable at 10.6%

EBITDA increased 7% QoQ to INR1.09bn due to higher volume and an improved product mix. This quarter still consumes high-cost alumina inventory. This along with higher magnesite cost offset the gain in flow control products' margins. As a result, EBITDA margin stood flat QoQ at 10.6%. Capacity utilisation at consolidated level increased to 72% versus 66% in Q1FY26. Exports remain muted due to subdued demand.

Interest cost increased 13.5% QoQ owing to foreign exchange losses on external commercial borrowings. Overall, PAT increased 9% QoQ to INR383mn.

High-cost inventory exhausted; H2FY26 margins to go up to 14–15%

We reckon that high-cost alumina inventory would exhaust in November, which will reduce the raw material cost in H2FY26. This along with an improved product mix should improve EBITDA margin to 14–15% (1HFY26: 10.6%). Earlier, it acquired Ashmath Technologies by paying INR141mn, which will enhance product portfolio to cater to Tier-2 steel mills. Technology transfer from parentco will help in higher capacity utilisation of existing domestic capacity and enhance margins further FY27 onwards.

Financials

Year to March (INR mn)	Q2FY26	Q2FY25	% Change	Q1FY26	% Change
Net Revenue	10,354	8,671	19.4	9,603	7.8
EBITDA	1,094	1,071	2.2	1,022	7.0
Adjusted Profit	383	459	(16.5)	353	8.7
Diluted EPS (INR)	1.9	2.2	(16.5)	1.7	8.7

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Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	36,745	40,180	44,198	48,618
Gross profit	14,901	15,871	17,944	19,739
Employee costs	3,835	3,835	4,219	4,641
Other expenses	6,275	6,961	7,337	8,071
EBITDA	4,791	5,075	6,389	7,027
Depreciation	1,999	1,959	1,998	2,038
Less: Interest expense	426	330	190	190
Add: Other income	261	59	177	376
Profit before tax	2,627	2,844	4,377	5,175
Prov for tax	601	717	1,103	1,304
Less: Other adj	0	0	0	0
Reported profit	2,025	2,127	3,274	3,871
Less: Excp.item (net)	0	0	0	0
Adjusted profit	2,025	2,127	3,274	3,871
Diluted shares o/s	207	207	207	207
Adjusted diluted EPS	9.8	10.3	15.9	18.7
DPS (INR)	2.5	2.5	2.5	2.5
Tax rate (%)	22.9	25.2	25.2	25.2

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	207	207	207	207
Reserves	39,780	41,391	44,149	47,504
Shareholders funds	39,986	41,597	44,355	47,710
Minority interest	0	0	0	0
Borrowings	2,458	458	458	458
Trade payables	6,217	6,494	7,143	7,858
Other liabs & prov	1,795	2,615	2,794	2,992
Total liabilities	51,758	52,467	56,054	60,321
Net block	6,394	5,935	4,936	4,398
Intangible assets	20,903	20,903	20,903	20,903
Capital WIP	633	633	633	633
Total fixed assets	27,930	27,471	26,473	25,934
Non current inv	0	0	0	0
Cash/cash equivalent	992	966	4,934	7,605
Sundry debtors	7,330	8,348	9,183	10,101
Loans & advances	0	0	0	0
Other assets	14,719	14,895	14,678	15,894
Total assets	51,758	52,467	56,054	60,321

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
EBITDA margin (%)	13.0	12.6	14.5	14.5
Net profit margin (%)	5.5	5.3	7.4	8.0
Revenue growth (% YoY)	(2.8)	9.3	10.0	10.0
EBITDA growth (% YoY)	(12.2)	5.9	25.9	10.0
Adj. profit growth (%)	(10.3)	5.0	53.9	18.2

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
PBT	2,627	2,844	4,377	5,175
Add: Depreciation	1,999	1,959	1,998	2,038
Interest (net of tax)	426	0	0	0
Others	(24)	0	0	0
Less: Changes in WC	(574)	(97)	212	(1,222)
Operating cash flow	3,731	3,990	5,484	4,687
Less: Capex	(1,191)	(1,500)	(1,000)	(1,500)
Free cash flow	2,540	2,490	4,484	3,187

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.0	6.2	6.2	6.2
Repo rate (%)	6.0	5.0	5.0	5.0
USD/INR (average)	84.5	87.5	87.5	87.5
Volume(Kt)	500	545	589	636
Gross margin(%)	40.6	39.5	40.6	40.6

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	5.2	5.2	7.6	8.4
RoCE (%)	7.2	7.5	10.5	11.5
Inventory days	98	97	87	81
Receivable days	77	71	72	72
Payable days	60	58	56	56
Working cap (% sales)	38.8	35.7	32.0	31.6
Gross debt/equity (x)	0.1	0	0	0
Net debt/equity (x)	0	0	(0.1)	(0.1)
Interest coverage (x)	6.6	9.4	23.1	26.3

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	47.5	45.2	29.4	24.9
Price/BV (x)	2.4	2.3	2.2	2.0
EV/EBITDA (x)	20.4	18.9	14.4	12.7
Dividend yield (%)	0.5	0.5	0.5	0.5

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	(10.3)	5.0	53.9	18.2
RoE (%)	5.2	5.2	7.6	8.4
EBITDA growth (%)	(12.2)	5.9	25.9	10.0
Payout ratio (%)	25.5	24.3	15.8	13.3

Source: Company and Nuvama estimates

Exhibit 1: Consolidated financial snapshot

INR mn	Q2FY26	Q2FY25	YoY (%)	Q1FY26	QoQ (%)	FY26E	FY27E	FY28E
Revenue	10,354	8,671	19.4	9,603	7.8	40,180	44,198	48,618
Raw material expenses	6,490	5,245	23.7	6,005	8.1	24,309	26,254	28,879
Employee Expenses	905	912	-0.8	868	4.2	3,835	4,219	4,641
Other Expenses	1,865	1,442	29.3	1,707	9.2	6,961	7,337	8,071
Total Expenditure	9,259	7,600	21.8	8,581	7.9	35,106	37,809	41,590
EBITDA	**1,094**	**1,071**	**2.2**	**1,022**	**7.0**	**5,075**	**6,389**	**7,027**
Depreciation	493	503	-2.0	471	4.7	1,959	1,998	2,038
Other income	11	154	-92.8	11	-0.4	59	177	376
EBIT	612	722	-15.2	563	8.8	3,115	4,390	4,989
Interest	94	98	-3.5	83	13.5	330	190	190
Profit Before Tax	518	624	-17.0	479	8.0	2,844	4,377	5,175
Tax	134	165	-18.5	127	6.1	717	1,103	1,304
Reported Profit	383	459	-16.5	353	8.7	2,127	3,274	3,871
Adjusted Profit	383	459	-16.5	353	8.7	2,127	3,274	3,871
Diluted Shares	207	207	-	207	-	207	207	207
Adjusted Diluted EPS	1.9	2.2	-16.5	1.7	8.7	10.3	15.9	18.7
As a % of revenue								
Dec/(Inc) in stock	62.7	60.5		62.5		60.5	59.4	59.4
Employee costs	8.7	10.5		9.0		9.5	9.5	9.5
Other Expenses	18.0	16.6		17.8		17.3	16.6	16.6
Total expenditure	89.4	87.6		89.4		87.4	85.5	85.5
EBITDA	10.6	12.4		10.6		12.6	14.5	14.5
Reported net profit	3.7	5.3		3.7		5.3	7.4	8.0
Tax rate	25.9	26.4		26.4		25.2	25.2	25.2

Source: Company, Nuvama Research

Exhibit 2: Operational performance

(INR/t)	Q2FY26	Q1FY26	QoQ (%)	Q2FY25	YoY (%)
Volume (000 t)	141	129	9.4	119	18.4
Realisation/t	73,237	74,317	-1.5	72,604	0.9
Adj EBITDA/t	7,741	7,911	-2.2	8,968	-13.7

Source: Company, Nuvama Research

Q2FY26 conference call takeaways

Q2FY26 operating performance

- RHIM has been able to gain market share almost in all product segments. It was able to gain market share in steel, iron making, coke oven and DRI businesses. It continues to witness intense competition in commodity-grade refractories.
- The company was able to undertake some price hikes in single digit % in specialised products.
- Capacity utilisation at the consolidated level increased to 72% (versus 66% in Q1FY26). Production was 93kt (versus 85kt in Q1FY26/86kt in Q2FY25), up 9% QoQ/8% YoY. Sales volume, at 141kt, was up 9% QoQ/18% YoY.
- During the quarter, there was continued impact of elevated raw material cost and it remained flat QoQ. The high cost alumina inventory will be exhausted in Nov-25 and will benefit from lower price in rest of 4 months of FY26. Besides, magnesite prices also increased during the quarter. However, management is confident of offseting higher magnesite cost by product optimisation.
- Dalmia performance: i) Revenue at INR2,640mn (versus Q1FY26 at INR2,080mn, up ~27% QoQ). ii) Volume at 42kt (versus Q1 at 35kt). iii) Margin improved to 11.4% (versus Q1 at 8.7%). The company is likely to transfer product portfolio from parentco, which will add to future profitability.

Guidance

- Management expects FY26 EBITDA margin to be closer to FY25 levels (~13%) , implying EBITDA margin of 14-15% in H2FY26 (1HFY26: 10.6%). This will be due to 1) lower raw material cost due to exhaustion of usage of high cost inventory 2) Better product mix 3) market share gain in ladle furnace and better industrial orders
- Management guided for FY26 capex of INR1.5bn (65–70% shall be for modernising erstwhile Dalmia's plant), primarily to increase operating efficiencies and enhance the product mix. The benefit of this capex will be visible FY27 onwards.

Others

- The flow control product sales remain flat YoY in 1HFY26 but have gained market share. It contributes 25-28% to revenue. EBITDA margins in flow control product stands higher at 23% (21% in Q1FY26)
- The general revenue break-up industry segment wise is Steel 80%, Cement at 14% and Rest project based is 6%
- Order book remains strong in iron making and steel segment
- Net Debt/EBITDA increased to 0.45x (vs 0.2x in Q1FY26) due to higher working capital requirement and dividend payout
- The capex stood at INR320mn in Q2FY26 and spent INR600mn in H1FY26. It guidend INR1500mn for FY26. For FY27, capex guided is INR900–1000mn.
- The refurbishment capex at Dalmia will be completed by end-CY26. It will reduce rejection, reduce labour cost and improve efficiency.

Exhibit 3: Key assumptions

Key Assumptions	FY23	FY24	FY25	FY26E	FY27E	FY28E
Sales volume (kt)	329	495	500	545	589	636
Gross margin (%)	37.4	40.8	40.6	39.5	40.6	40.6
EBITDA margin (%)	13.2	14.4	13.0	12.6	14.5	14.5
Net debt/EBITDA (x)	3.2	0.6	0.3	-0.1	-0.7	-1.0

Source: Company, Nuvama Research

Exhibit 4: Valuation

Particulars	FY28E
EPS (INR/sh)	18.7
P/E (x)	32
Target Price (INR/sh)	600

Source: Company, Nuvama Research

Company Description

RHI Magnesita India (RHI) is a manufacturer of wide range of refractories and monolithic for steel and iron industry having its clientele based in both India and international market. The company has a market share of ~30% in the Indian refractory market following the Dalmia OCL and Hi-Tech acquisition with a total capacity of ~512ktpa. Approximately 70% of its products caters to steel sector and rest to industrials (cement, glass, non-ferrous etc). RHI, headquartered at Gurugram, has a pan India manufacturing presence and has its manufacturing Unit in Bhiwadi, Vishakhapatnam and Cuttack. With the acquisition of Dalmia OCL and Hi-Tech, the company has its footprint now in Jamshedpur and West and South India market as well.

Investment Thesis

With RHI's total capacity increased to ~512ktpa after acquiring Dalmia OCL (300ktpa) and Hi-Tech with 62ktpa capacity. RHI has become the market leader in India with 30% market share.

We believe RHI's acquired capacity is currently operating at ~60% capacity utilisation, thereby providing RHI an unused capacity of 150kt, which would be ramped up in the next 3-4 years. This gives RHI enough room to cater to the increasing demand from steel industry.

Key Risks

- Dependent on raw material sourcing through imports
- Key segment recovery delay
- Slowdown in steel sales momentum can affect RHI sales growth projections, as it is the biggest revenue driver.
- Dalmia's stake of 13% in RHI with a lock period, which ended on 31st August 2023, providing risk of share supply
- Delay in turnaround of RHIRL's assets

Additional Data

Management

Chairman	Dr. Vijay Sharma
MD & CEO	Parmod Sagar
CFO	Azim Syed
Company Secretary	Sanjay Kumar
Auditor	PwC LLP

Holdings – Top 10*

	% Holding		% Holding
Axis AMC	2.59	Nippon Life AMC	1.01
ICICI Pru	2.85	Bandhan AMC	0.79
HDFC AMC	1.51	UTI AMC	0.78
Aditya Birla AM	0.64	Canara Robecco	0.67
Vanguard	1.24	Sundaram AMC	0.55

**Latest public data*

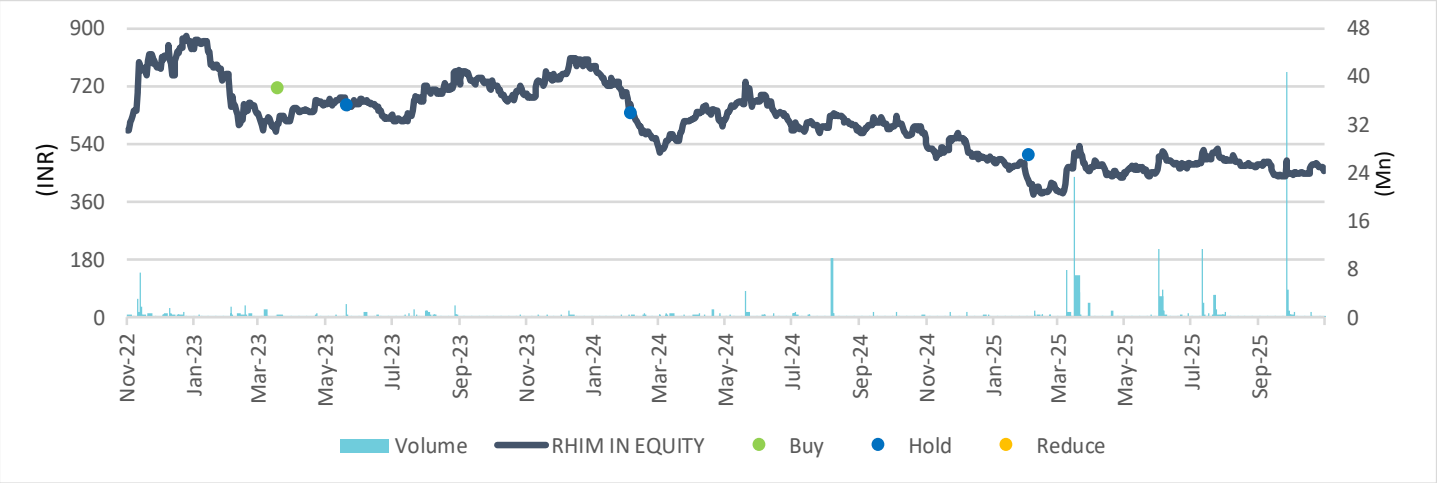
Recent Company Research

Date	Title	Price	Reco
11-Aug-25	Margins poised to improve in H2; *Result Update*	490	Hold
28-May-25	Navigating through overcapacity market; *Result Update*	464	Hold
13-Feb-25	Margin recovery delayed; *Result Update*	438	Hold

Recent Sector Research

Date	Name of Co./Sector	Title
11-Nov-25	DOMS	Strong showing continues; capex on track; *Result Update*
08-Nov-25	AIA Engineering	Volume recovery underway; *Result Update*
07-Nov-25	Flair	Margins improve; own brands shine; *Result Update*

Rating and Daily Volume Interpretation



Source: Bloomberg, Nuvama research

Rating Rationale & Distribution: Nuvama Research

Rating	Expected absolute returns over 12 months	Rating Distribution
Buy	15%	205
Hold	<15% and >-5%	68
Reduce	<-5%	37

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